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Reading the Market's Rotation: A Practical Guide to RRG

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Yashesh Lele Follow

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A personal walk-through of a self-hosted Algo trading terminal for Indian markets.

Disclaimer: This is a **personal project** I built for my own learning and use. It is **not a commercial product, not a SEBI-registered service, and not investment advice.** Nothing here is a solicitation to trade. Markets are risky; I'm simply sharing how I engineered a tool for myself.

Which sectors are leading NIFTY, which are fading, and which are quietly turning up — in one picture.

Money in the market never sits still. It moves from banks to IT, from metals to pharma, from one theme to the next. Most of the time a trader only notices after the move — when a sector has already doubled, or already halved. A Relative Rotation Graph — **RRG** — is built to show that movement while it is happening.

It does this by changing the question. Instead of asking "is this stock going up?", an RRG asks: **is it doing better or worse than the market, and is that getting stronger or weaker?** The answer to both, for every sector at once, is one dot on one chart.

Where RRG comes from

Relative Rotation Graphs were developed by the Dutch market analyst **Julius de Kempenaer** in the early 2000s, and became widely known after they were added to professional terminals such as Bloomberg. The idea behind them is much older:

relative strength — buying what is outperforming and avoiding what is underperforming — has been a staple of fund managers for decades. RRG's contribution was to add a second dimension, the *momentum* of that relative strength, and to show both on a single chart that anyone can read at a glance.

The two measures

Every sector or stock on an RRG is compared with a benchmark. On TradeLele that benchmark is **NIFTY**. Each item then gets two numbers, both centred on 100:

• **RS-Ratio (horizontal axis) — the trend.** Above 100 means it has been outperforming NIFTY; below 100 means underperforming. The further from 100, the bigger the gap.

• **RS-Momentum (vertical axis) — the direction of that trend.** Above 100 means the relative strength is improving; below 100 means it is fading, even if the sector is still ahead.

How TradeLele works out the numbers

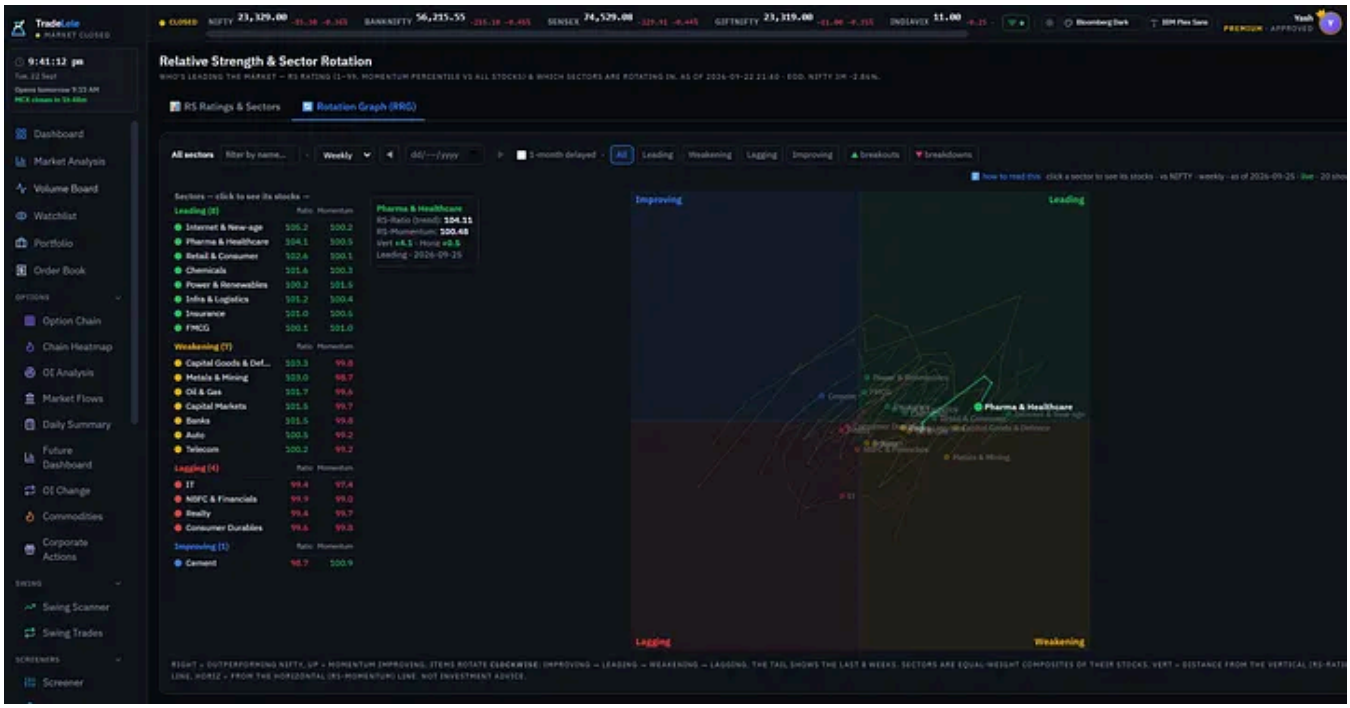
The original JdK formulas are proprietary. TradeLele uses a transparent version built on the same idea, in three steps:

1. **Relative strength line.** Sector price ÷ NIFTY × 100. If this line rises, the sector is beating the index.

2. **RS-Ratio.** Today's relative strength compared with its own recent average — 10 weeks on the Weekly chart. Above that average reads above 100.

3. **RS-Momentum.** Today's RS-Ratio compared with its own recent average — 5 weeks on the Weekly chart. It rises before the RS-Ratio turns, which is why it gives the earlier warning.

The Daily chart uses 50 and 25 days, and the Monthly chart 6 and 3 months. A sector is an **equal-weight** mix of its stocks, so one heavyweight company cannot make a whole sector look strong on its own.



Relative Strength & Sector Rotation → 🔄 Rotation Graph (RRG), Weekly view, all four quadrants and the sector tails visible.

The four quadrants

Where the two measures meet at 100 × 100, the chart splits into four quadrants:

Quadrant	Where it sits	What it usually means
Leading	Top right	Beating NIFTY, and the lead is still growing. The strongest group on the chart.
Weakening	Bottom right	Still ahead of NIFTY, but the lead is shrinking. Often where early buyers book profits.
Lagging	Bottom left	Behind NIFTY and still falling further behind. Usually the wrong place for fresh buying.
Improving	Top left	Still behind NIFTY, but catching up. This is where tomorrow's leaders usually come from.

Rotation runs clockwise

Sectors tend to travel around the chart in a **clockwise** circle: Improving → Leading → Weakening → Lagging → and back to Improving. Each dot carries a **tail** that traces its last few positions, so you see not only where a sector is, but where it is heading.

• **Direction matters more than position.** A sector in Lagging whose tail points up and to the right is turning; one in Leading whose tail is bending down is tiring.

• **Distance from the centre shows strength.** The further out a dot sits, the stronger its move. Dots bunched near 100 × 100 mean nothing is standing out.

• **Tail length shows speed.** A long tail means the sector moved a lot in a short time; a short one means it is hardly changing.

- **Not every sector completes the circle.** A strong sector can dip into Weakening and turn straight back up into Leading without ever reaching Lagging. That hook back up is one of the strongest signals on the chart.

Why sectors rotate

Rotation is not random. Money moves between sectors because the economy, interest rates and earnings expectations change, and different businesses benefit at different stages:

• **Early recovery:** banks, financials, autos and real estate often lead as credit and demand pick up.

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• **Mid-cycle:** capital goods, infrastructure, metals and industrials tend to take over as companies invest.

• **Late cycle and slowdowns:** defensive sectors — FMCG, pharma, healthcare, utilities — usually hold up best.

Real markets are messier than this textbook cycle, and themes such as new-age internet or renewables can rotate on their own story. The RRG does not need to know why money is moving — it simply shows that it is.

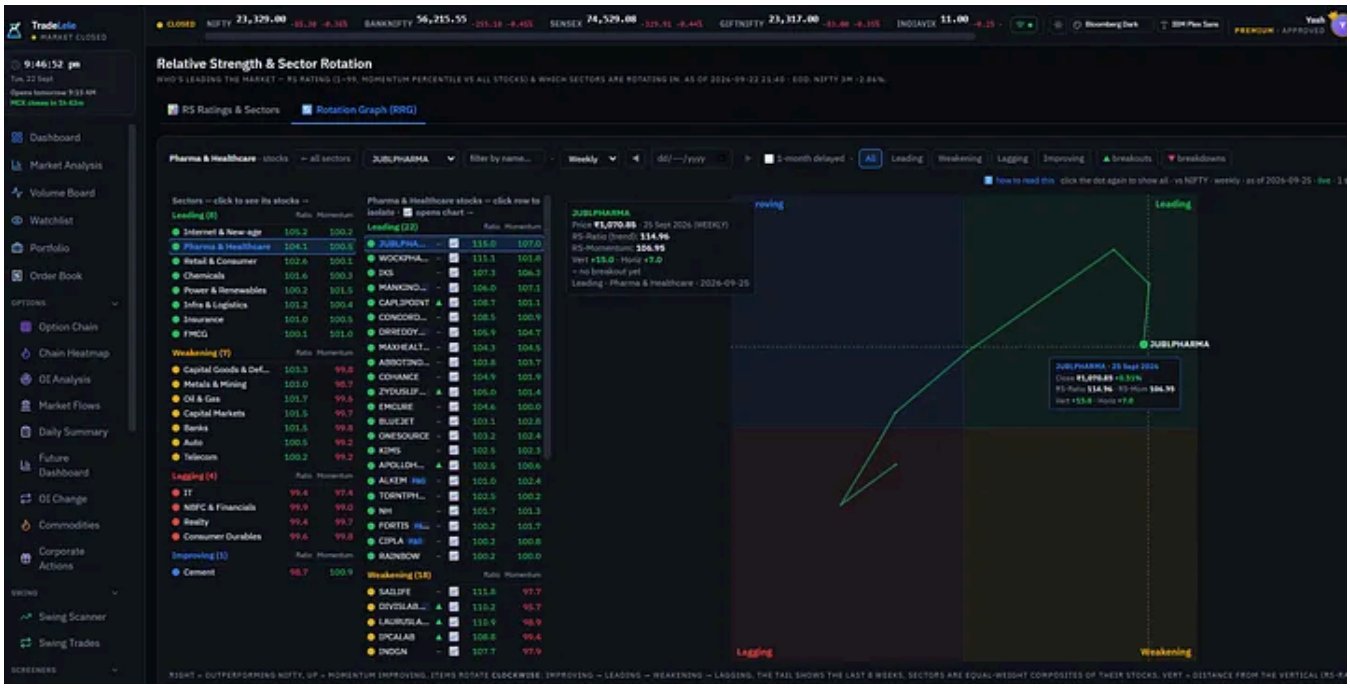
A worked example: the Weekly chart today

Here is what TradeLele's Weekly sector RRG showed on **22 September 2026**, with each tail starting on 7 August:

Sector	7 August	22 September	What happened
IT	Leading (RS 105.6)	Lagging (99.4 / 97.4)	Fell all the way round the circle
Power & Renewables	Lagging (RS 94.9)	Leading (100.2 / 101.5)	Climbed from last to leading
Metals & Mining	Leading (mom 103.2)	Weakening (103.0 / 98.7)	Still ahead, but momentum rolled over
Cement	Lagging (mom 97.4)	Improving (98.7 / 100.9)	Just started to turn up

Read together, this is rotation in action. **IT** was the market's leader in early August and has since lost both its lead and its momentum. **Power & Renewables** did the opposite, moving from the worst position on the chart into Leading in six weeks. **Metals** are still beating NIFTY, but the tail has turned down — a classic early warning. **Cement** is the one to watch: still behind the index, but now moving the right way.

These positions change every week. The example shows how to read the chart; it is not a view on these sectors.



Tails showing direction

How to use it on TradeLele

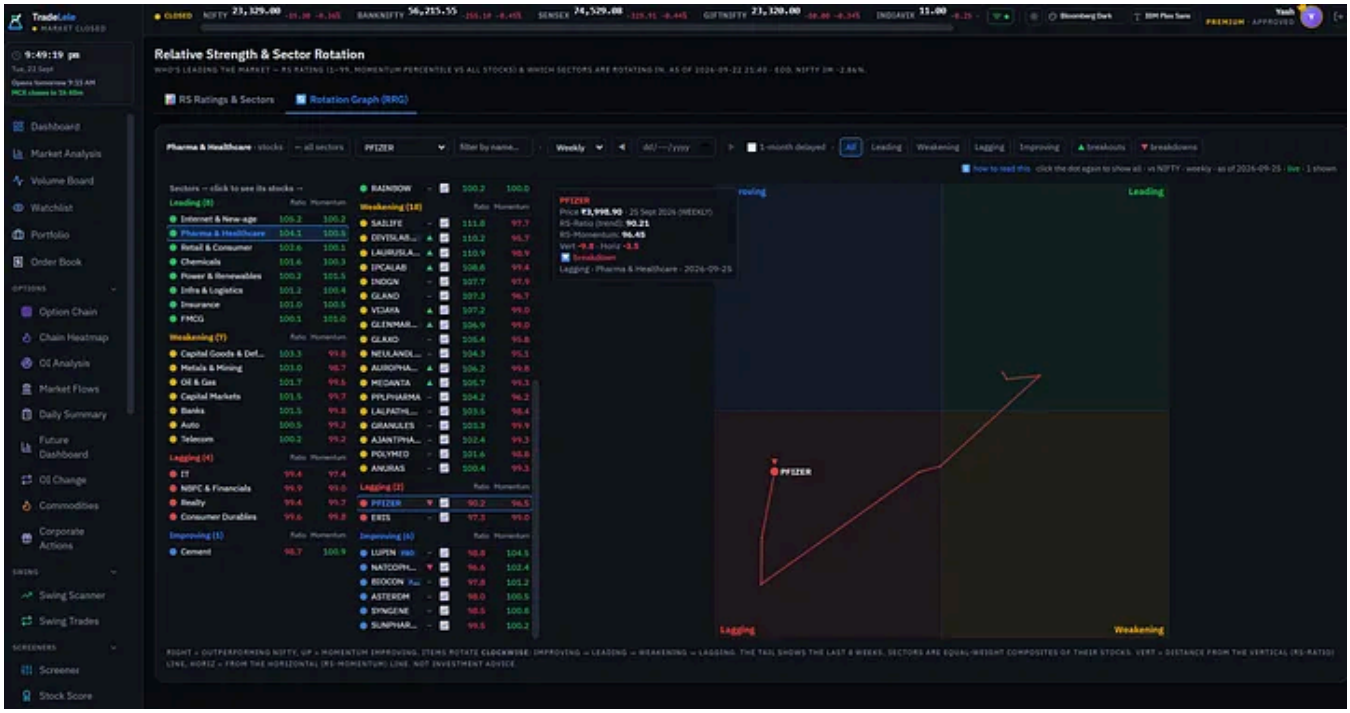
1. **Start with sectors.** Open Relative Strength & Sector Rotation → 🔄 Rotation Graph (RRG). Every sector appears against NIFTY.

2. **Pick the timeframe.** Daily for short-term trades, Weekly for swing trades, Monthly for the bigger picture. Weekly is the best place to start.

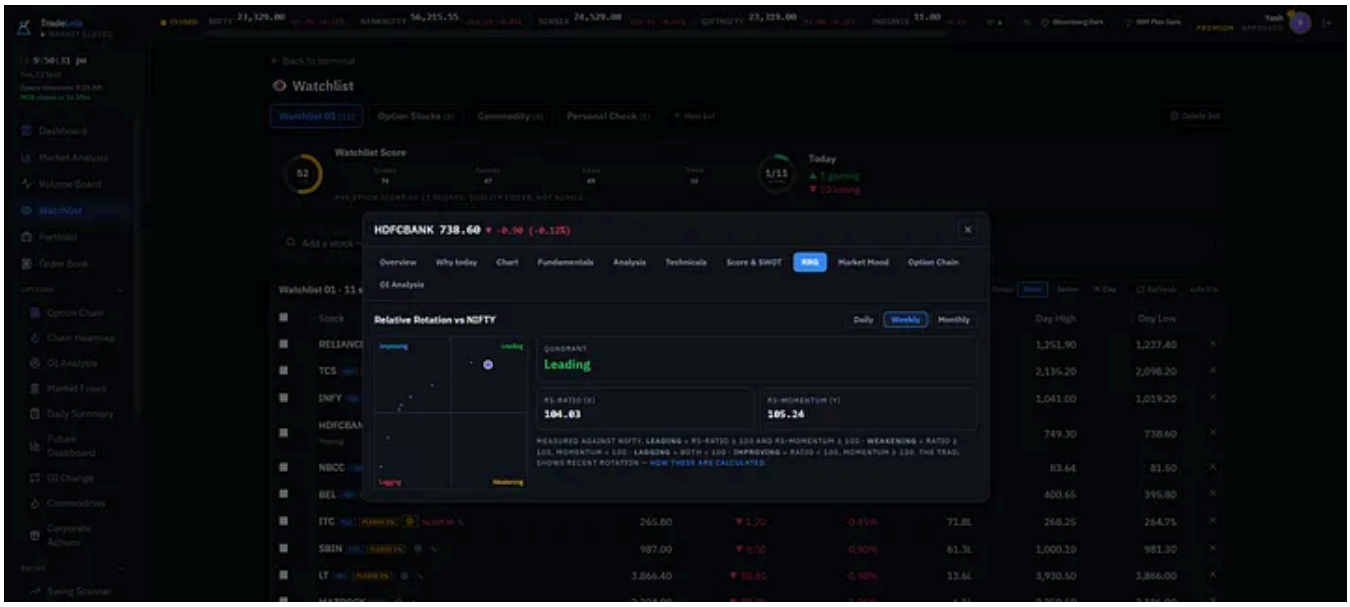
3. **Drill into a sector.** Choose a sector to see its individual stocks on the same chart, and find the strongest names inside a strong sector.

4. **Check any stock.** In your Watchlist, open a stock and go to its RRG tab to see its quadrant on Daily, Weekly and Monthly together.

5. **Look back in time.** Use the date setting to replay the chart on an earlier day and see how a rotation developed.



Stocks inside one sector



A stock's detail popup from the Watchlist, RRG tab open, with the D / W / M buttons visible.

Common mistakes

• **Treating "Leading" as "going up".** RRG is relative. In a falling market a sector can be Leading while it falls — it is simply falling less than NIFTY.

• **Chasing the far top-right corner.** A dot that has run far into Leading may already be stretched. The tail's direction tells you more than its distance.

• **Reading one timeframe alone.** A sector that is Leading on Daily but Lagging on Weekly is a short bounce inside a weak trend, not a new leader.

• **Ignoring breadth.** A sector can look strong because two or three stocks are flying. Drill in and check how many of its stocks are actually in Leading or Improving.

• **Using it as a buy signal.** RRG tells you where to look. It gives no entry price, no stop-loss and no target.

A quick checklist

• Is the sector in Leading or Improving on the Weekly chart?

• Is its tail pointing up and to the right?

• Does the Monthly chart agree, or at least not contradict it?

• Inside the sector, are several strong stocks in Leading — not just one?

• Does the stock's own price chart confirm it — a clean trend, sensible levels, a clear stop?

If most answers are yes, the stock deserves a closer look. If not, the RRG has done its job by saving you time.

The bottom line

An RRG will not predict the market, and it looks backwards: it describes rotation that has already begun. What it does well is **organise attention**. In a few seconds it shows which parts of the market money is moving into, which it is leaving, and which are starting to turn. Use it to decide **where to look** — then use price, levels and sound risk management to decide **what to do**.

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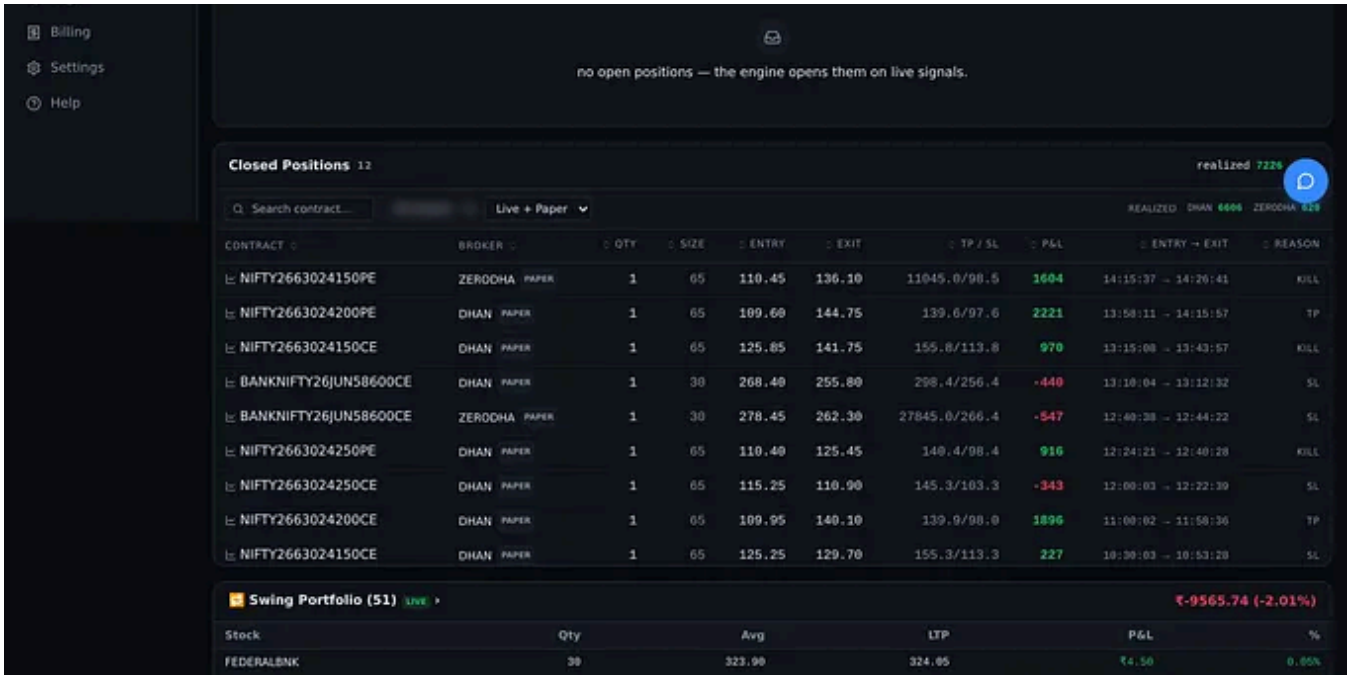


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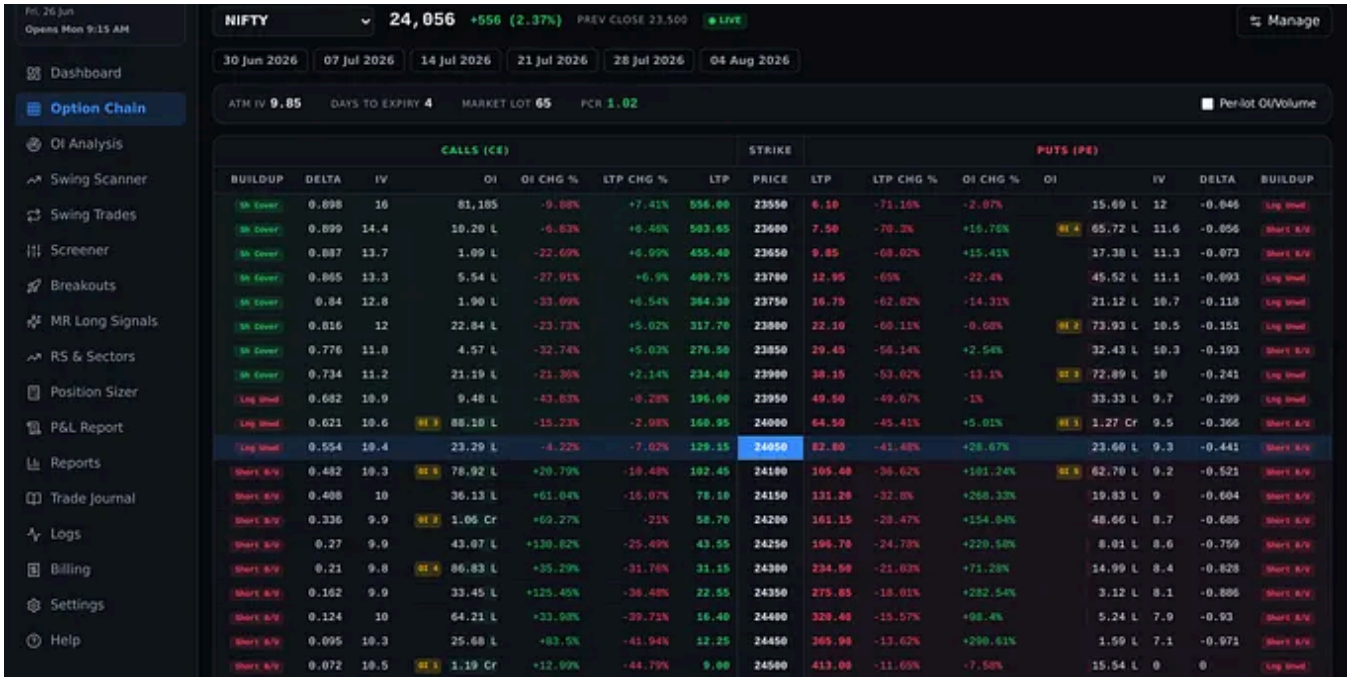
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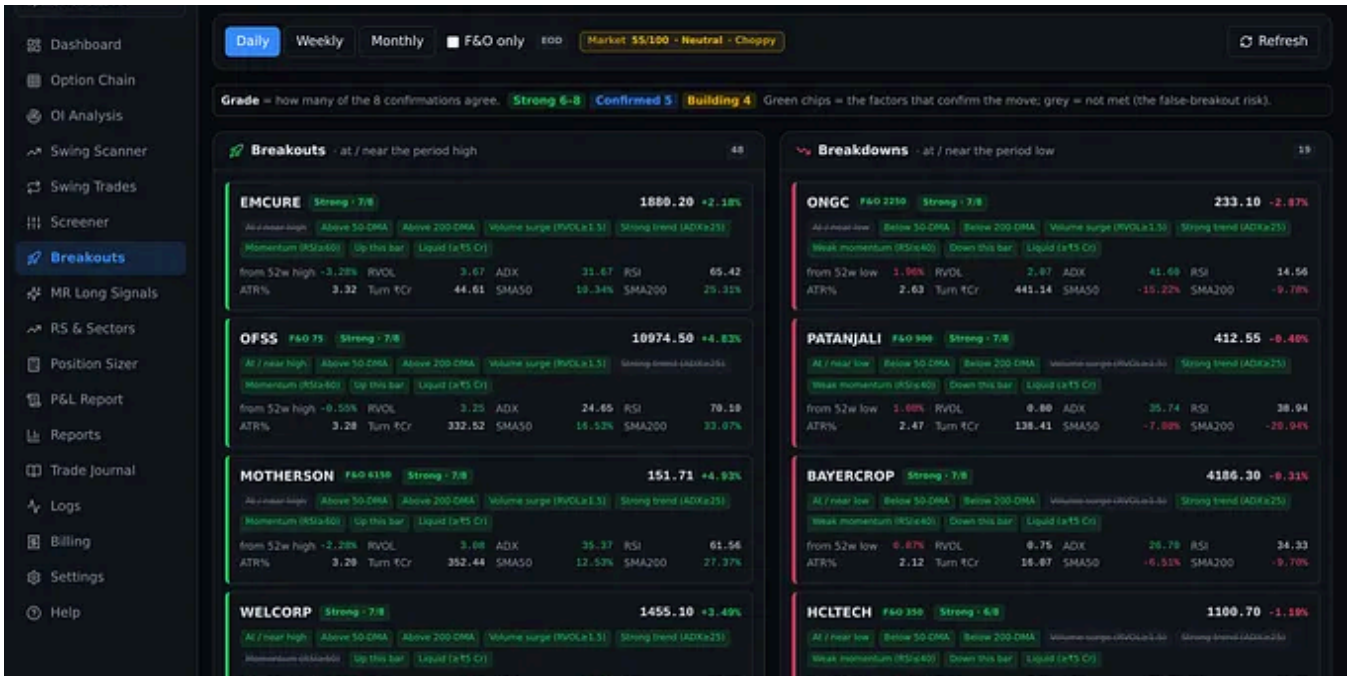
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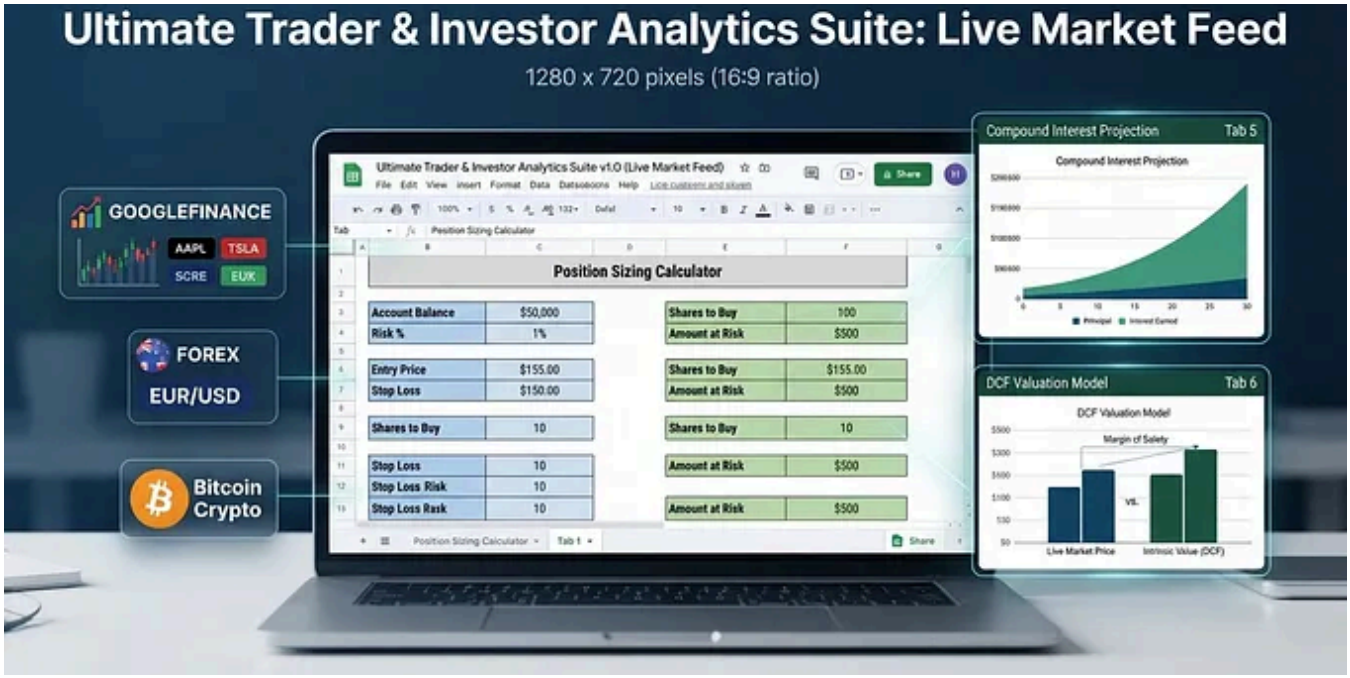


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